

approximately two-thirds of gold is used for jewelry, and an additional amount is used in technology hardware. Gold has tangible value. The U.S. dollar, while a fiat currency, has value as “legal tender.” However, there are many examples from history whereby currency emerged without any backing that had value.

A relatively recent example is the Iraqi Swiss dinar. This was the currency of Iraq until the first Gulf War in 1990. The printing plates were manufactured in Switzerland (hence the name), and the printing was outsourced to the United Kingdom. In 1991, Iraq was divided, with the Kurds controlling the north and Saddam Hussein the south. Due to sanctions, Iraq could not import dinars from the UK and had to start local production. In May 1993, the Central Bank of Iraq announced that citizens had three weeks to exchange old 25 dinars for new ones (Figure 2.2). Afterwards, the old dinar would be unredeemable.

The old Iraqi Swiss dinar, however, continued to be used in the north. In the south, the new dinar suffered from extreme inflation. Eventually, the exchange rate was 300 new dinars for a single Iraqi Swiss dinar. The key insight here is that

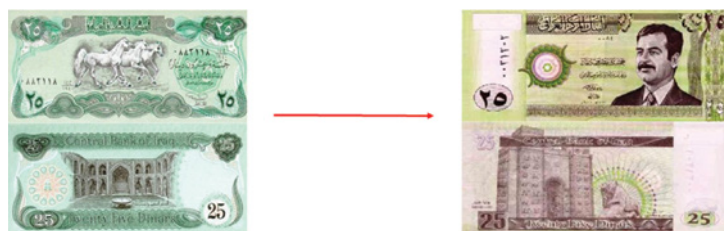


Figure 2.2 Iraqi Swiss dinars and new dinars

Source: Central Bank of Iraq